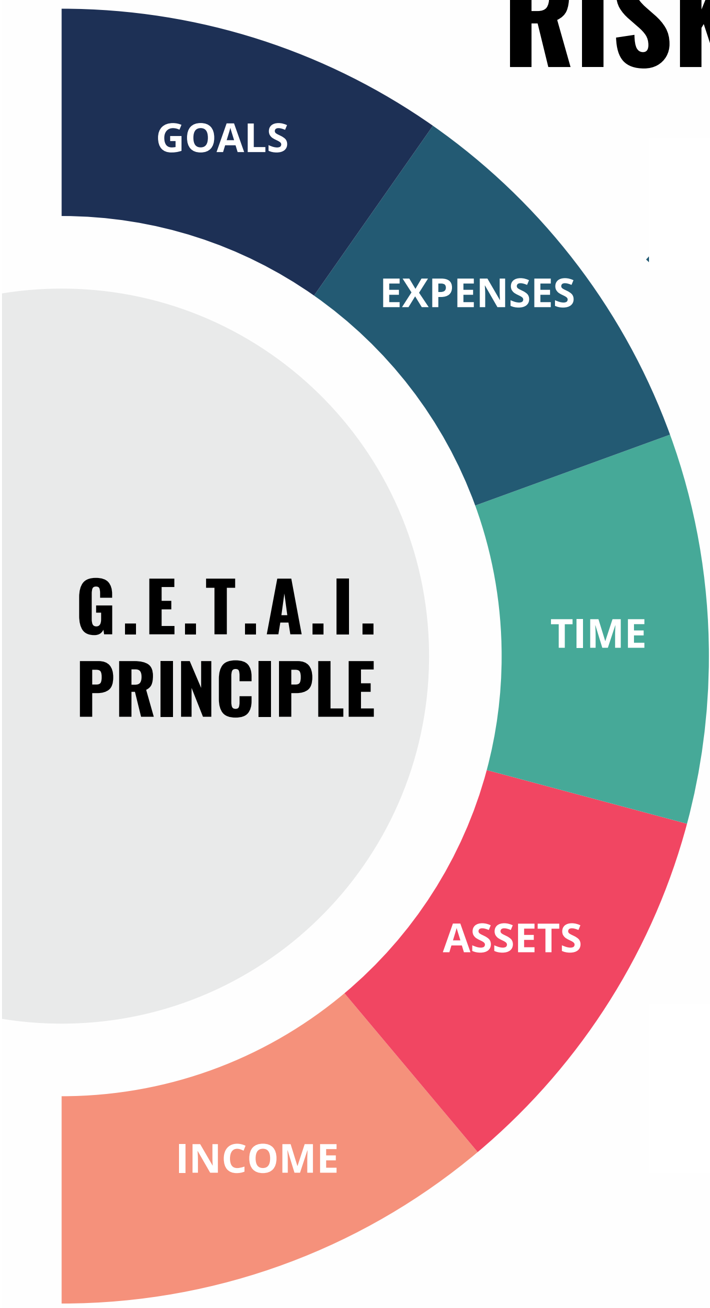
RISK TAKING ABILITY



Our risk-taking ability, willingness and return goals will together help us achieve the risk-return balance that is needed. We already are aware of our return goals. We will now evaluate and profile ourselves based on our risk-taking ability and willingness one by one.

Evaluating risk-taking ability is a very subjective process. Most people evaluate it based on their biases. However, using the G.E.T.A.I. principle, we will try to make it as objective as possible. It is a set of factors that together evaluates our risk-taking ability. GETAI stands for Goals, Expenses, Time, Assets and Income.

GOALS

It stands for the financial goals that we discussed a little while ago. We had listed down all the goals, prioritized them, quantified them and judged its flexibility. Now we will use two factors – flexibility and importance of the goal to evaluate risk-taking ability.

HOW FLEXIBLE IS YOUR GOAL?

The more flexible our goal is in terms of amount and time, the higher is our risk-taking ability. If we have high flexibility, we still have room to meet our flexible goals even if things do not go as per the plan. We can either do it with a lower amount or else by delaying the requirement for a while.

HOW IMPORTANT IS THAT GOAL?

The more important the goal is to us, lesser are the chances we would want to take and therefore lower will be our risk-taking ability. When the goals are less important, we can take risks and try to earn higher returns that will compensate for less flexible and more important goals.